

Table 6.5b False Positive Signals

Period	Market Prices		Period Returns		Excess Returns	
	C	D	C	D	C	D
0	\$60.00	\$50.00				
1	\$65.11	\$50.82	8.2%	1.6%	5.5%	5.1%
2	\$63.43	\$45.93	−2.6%	−10.1%	−5.3%	−6.6%
3	\$71.51	\$47.43	12.0%	3.2%	9.3%	6.7%
4	\$60.90	\$37.31	−16.1%	−24.0%	−18.7%	−20.5%
5	\$93.93	\$58.09	43.3%	44.3%	40.7%	47.8%
6	\$85.83	\$50.77	−9.0%	−13.5%	−11.7%	−10.0%
7	\$68.19	\$28.10	−23.0%	−59.2%	−25.7%	−55.7%
8	\$73.95	\$36.34	8.1%	25.7%	5.5%	29.2%
9	\$88.56	\$42.51	18.0%	15.7%	15.4%	19.2%
10	\$100.69	\$52.41	12.8%	20.9%	10.2%	24.4%
11	\$95.29	\$40.31	−5.5%	−26.3%	−8.2%	−22.8%
12	\$112.56	\$42.10	16.7%	4.3%	14.0%	7.8%
13	\$99.59	\$37.12	−12.2%	−12.6%	−14.9%	−9.1%
14	\$95.56	\$30.63	−4.1%	−19.2%	−6.8%	−15.7%
15	\$103.88	\$34.49	8.3%	11.9%	5.7%	15.4%
16	\$119.10	\$44.81	13.7%	26.2%	11.0%	29.7%
17	\$100.88	\$24.90	−16.6%	−58.7%	−19.3%	−55.3%
18	\$117.90	\$33.90	15.6%	30.9%	12.9%	34.3%
19	\$143.46	\$39.28	19.6%	14.7%	17.0%	18.2%
20	\$118.28	\$28.70	−19.3%	−31.4%	−22.0%	−27.9%
21	\$108.05	\$18.39	−9.0%	−44.5%	−11.7%	−41.0%
22	\$137.49	\$34.52	24.1%	63.0%	21.4%	66.5%
23	\$147.63	\$41.95	7.1%	19.5%	4.4%	23.0%
24	\$113.77	\$21.63	−26.1%	−66.2%	−28.7%	−62.7%
Avg:			2.7%	−3.5%	0.0%	0.0%
Correl:			0.90		0.90	

The excess returns are indeed positively correlated but the direction of trend is negatively correlated.

To correct for the calculation of covariance and correlation it is advised to compare stock price movement based on a common trend (such as the market index) or a multi-factor model. Factor models are discussed further below.